

PITCH — SYM — VERDICT

ADJUDICATED 2026-09-16 — WATCH — band \$30 (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Symbotic builds and installs warehouse automation systems. It is a real business with real revenue (~\$2.8bn run-rate, revenue +22% y/y, 77 systems in deployment) and the demand-damage story people fear is **not** visible in the numbers. We looked hard for it and did not find it.

What we believe instead is narrower and less exciting: **the business is fine and the price is not.** At \$42.51 on the full share count (129.9m Class A + 71.4m V-1 + 403.6m V-3 = 604,801,708 units as of 8/3/26, per the 10-Q cover page —

<https://www.sec.gov/Archives/edgar/data/0001837240/000183724026000043/sym-20260627.htm>), the equity is ~\$25.7bn and enterprise value ~\$24.0bn. Against a street FY26 adjusted EBITDA of ~\$340m that is **~71x**. Adjusted EBITDA excludes stock compensation, and stock compensation is running ~\$200m a year (\$101.3m in the first six months of FY26 —

<https://ir.symbotic.com/node/11011/pdf>), so the cash number is closer to ~\$140m and the multiple is **~172x**.

Then the growth. We do not argue with the street's growth forecast. We adopt it. Revenue compounding 26% and EBITDA compounding 72% from FY25 to FY28 gets you roughly \$0.8bn of EBITDA in FY28 — which is **~30x EBITDA three years forward, with no discounting and before the ~\$200m of stock comp that never shows up in the adjusted number**. We agree with the bulls and still are not paid for the risk.

And one thing has genuinely stopped working: new orders. Backlog was \$22.7bn at Q2 FY26 and \$22.5bn at Q3 FY26 on \$721m of revenue burned, which implies roughly **\$0.5bn of gross new bookings — a book-to-bill near 0.72**. Backlog has been flat for three quarters. Only ~15% of it converts inside twelve months. One customer, Walmart, was **over 84% of FY25 revenue**. About \$7.5bn of the backlog is the GreenBox joint venture, which Symbotic owns 35% of and books equity-method losses for — so part of the backlog points back at itself.

Believed, in one line: **good company, wrong price, orders flat, one customer, and a multiple that already pays the bull case.**

What the market believes

The market believes two different things at once, which is why this is worth writing down.

The bullish half looks at the same \$22.5bn backlog and ~\$24bn enterprise value and calls the stock cheap at **under 7x forward sales** (<https://www.fool.com/investing/2026/09/01/symbiotics-backlog-sits-at-x-billion-heres-the-cust/>). Twenty-four analysts carry an average target of \$65.67 — roughly 55% above the tape. That view uses *the same inputs we use* (26%/72% CAGRs, the correct ~604.8m unit count) and reaches the opposite conclusion. We take that seriously; it is not a strawman.

The bearish half is already loud on the obvious things: Walmart concentration has been written about repeatedly (<https://finance.yahoo.com/news/investors-worry-symbiotics-walmart-exposure-153400886.html>), insider selling was covered in late August, the stock is down ~51.6% from its 52-week high, and Zacks has it ranked #5 (strongest sell). Sentiment is not evidence, but it tells us the *narrative* bear case is priced.

What the market does **not** appear to hold: the decomposed book-to-bill (everyone quotes the \$22.5bn headline; almost nobody differences it against revenue burned), and the stock-comp-corrected multiple (~172x cash EBITDA rather than ~71x).

Why we might have edge

1. **Decomposition, not headlines.** “Backlog \$22.5bn, still strong” is the headline. Differencing three consecutive prints against revenue recognized gives book-to-bill ≈ 1.0 over three quarters and ≈ 0.72 in the latest quarter. That arithmetic is public and, as far as we can find, unpublished.
2. **The stock-comp correction.** The pack’s stock-comp series was stale (FY25 vintage, \$26.8m/quarter $\rightarrow$ \$107m/yr). The actual FY26 first half is \$101.3m, i.e. ~\$200m annualized. Adjusted EBITDA of \$340m therefore excludes **roughly 59% of itself**. Anyone anchoring on 71x is using a number that is off by more than 2x on the cash line.
3. **Correct capitalization.** Screens and many write-ups use the Class A count (109–130m shares) because that is what the XBRL `dil_sh` tag returns under the Up-C structure. The real unit count is 604.8m. Getting this wrong makes the stock look roughly 5x cheaper than it is. Our own evidence pack had this error, and our red bench half-corrected it (598m) before blue fixed it properly.
4. **Backlog quality, not size.** The \$7.5bn GreenBox slug is a 35%-owned, SoftBank-funding-dependent affiliate. The 400-APD Walmart commitment that bulls cite (“could increase ... by more than \$5.0 billion”) is **contingent and explicitly outside backlog**. The filings treat it as optionality; write-ups treat it as support.
5. **We ran the adversarial court and lost half our own bear case.** That is edge too: we know which bear legs are fake, so we will not be shaken out of the flat by a rebuttal we already made ourselves.

Why it might be priced in

Honestly: quite a lot of it.

- **The drawdown already happened.** The stock is –51.6% from its high and **+12.8% off its 52-week low**. The clean –53% entry no longer exists. Whatever we are “discovering,” a 50% de-rate suggests the tape has discovered something similar.
- **Concentration and insider selling are in mainstream coverage.** Our own blue bench re-tagged both from “novel” to “consensus.” We should not pay ourselves for those.
- **7x forward sales is not an absurd number for a 26%-grower.** If the terminal multiple is anything above ~20x EBITDA on FY28’s \$0.8bn, the bull math works and our 30x-forward complaint becomes a quibble about the discount rate.
- **Stock comp may be transitory.** A de-SPAC with heavy founder/retention grants can see stock comp fall as a share of revenue fast. We are annualizing a two-quarter number (\$44.1m then \$57.2m — note it *rose*), which is exactly the kind of extrapolation that burned our red bench on cash flow.
- **Book-to-bill of 0.72 in one quarter is one quarter.** Lumpy, multi-hundred-million-dollar capital-equipment orders do not arrive smoothly. Three flat quarters is suggestive; it is not yet a trend, and the Q4 guide is a sequential *raise*.

What could go wrong (PRE-MORTEM, v1.7)

We currently hold nothing, so “losing money” here has two shapes: the flat is wrong (we miss the move), or we take the reopen band at ~\$30 and the reopen band is a trapdoor. Both are covered.

Failure narrative 1 — The flat is wrong because one order fixes everything (monitorable).

Walmart converts a meaningful piece of the 400-APD commitment into disclosed remaining performance obligation, or a named non-Walmart, non-GreenBox anchor signs. Backlog prints \$24bn+, book-to-bill snaps back above 1.3, and the market stops arguing about multiples entirely. The stock retraces toward the \$65.67 street target and our careful 172x arithmetic reads as pedantry. **Tripwire: backlog > \$23.5bn on the FY26Q4 or FY27Q1 print, or an 8-K naming a new anchor customer.** This is our largest regret risk and the reason the reopen band is written as an *up*-gate as well as a down-gate.

Failure narrative 2 — We buy \$30 and it is a value trap (monitorable). Price reaches \$30 (~48x FY26 adjusted EBITDA, ~117x cash EBITDA, ~20.6x FY28 street EBITDA), we take the starter, and then book-to-bill goes to 0.5 because Walmart’s automation capex cycle is simply past peak. Revenue growth decelerates from 22% toward single digits in FY28, the street’s 72% EBITDA CAGR is cut, and the stock is a \$20 stock on a lower base. Our entry logic was a multiple, and multiples do not hold when the denominator forecast breaks. **Tripwire: two consecutive quarters of book-to-bill < 0.9, or contract liabilities declining sequentially, or Walmart capex commentary turning down.**

Failure narrative 3 — NO MONITORABLE TRIPWIRE: a private single-counterparty decision, learned only in the print. Over 84% of revenue is one customer and ~\$7.5bn of backlog is a 35%-owned affiliate funded by SoftBank. The decisions that matter most — Walmart’s internal deployment-pace and vendor-strategy reviews, and SoftBank’s funding posture toward GreenBox — happen in rooms we have no window into and generate no filing, no permit, no satellite signature, and no price signal until the quarter is already reported. Our own detector sweep proves

the blindness rather than curing it: `plant_thermal` and `sentinel2_buildout` both came back **UNCHECKABLE** because revenue-bearing construction is at *customer* distribution centers and we do not have the site list for the 77 in-deployment systems. There is no instrument we can arm that fires before the fact. **Unknown-unknown class named: SINGLE-COUNTERPARTY STRATEGIC INTENT (off-tape, off-filing, affiliate-funding-coupled)**. This class also covers a related-party or affiliate-funded financing action inside the unexplained \$427.0m financing inflow — we know the amount and not the source. This is the leg we cannot sensor, and it is the leg that would hurt worst.

The reflexive / structural leg. - Our own size vs volume. Our average daily volume figure for SYM is **not verified** (item 11 below; estimated ~5–9m shares/day, ~\$210–380m notional, from large-cap de-SPAC robotics comps). If that estimate holds, a 1.0–1.5% book starter is a small fraction of one day's volume and we are a price-taker with no meaningful footprint. But if the estimate is wrong by 3x — plausible, since it is a comp-based guess, not a feed — a starter placed into a post-print liquidity hole becomes self-impacting. **We should not size off an estimate; pull the real number before any order.** This is a live structural risk created by our own unverified input, not by the market. - **Predicted flow against us.** The 13D/A and six Form 144s in thirty days mean scheduled affiliate supply is arriving through the open market rather than through a marketed deal (`lockup_expiration_calendar` did not fire; there is no S-1 in the inventory). Persistent 144-channel supply caps rallies and means our \$30 gate could be *reached* by mechanical selling rather than by fundamental news — we would be buying the flow, not the discount. Conversely, a Zacks #5 rank plus 51% drawdown is the classic setup for a violent short-covering squeeze on any backlog beat; our crowding read is a **coverage gap in both benches** (short interest unavailable), so we genuinely cannot size that. - **Doctrine interactions.** Three of our doctrines fought each other here and we should say so. Up-C/TRA doctrine correctly forced the 604.8m unit count — but red then applied the non-controlling-interest haircut *on top* of the full unit count, double-counting the structure and overstating the kill; blue struck it. The `contract_liability_burn_inversion` mechanism our red bench proposed as a new knowledge-graph candidate was **falsified by the issuer's own balance sheet within the same court** (contract liabilities *rose* \$1.367bn → \$1.860bn). And the year-to-date-differencing habit that produced “Q3 OCF –\$147m, decoupled from EBITDA” is now itself logged as an anti-pattern detector (`fiscal_q3_ocf_trough_misread`), because the prior-year same quarter was –\$196.5m. Our doctrine stack generated two confident, wrong, novel-tagged kills in one sitting. If we are wrong on the surviving valuation leg, the most likely mechanism is the same one: a compelling decomposition with no base-rate comparison behind it.

If this position loses money, the most likely reason will be that Walmart's private deployment decision — which we have no tripwire for — turns *up*, converts the 400-APD commitment into backlog, and we spend the entire re-rate sitting flat while re-deriving a stock-comp multiple that nobody else is willing to price.

What we checked ourselves

Claim	How checked	Found
Share count is ~109m (pack <code>dil_sh</code>)	10-Q cover page, all three classes	129,873,381 A + 71,369,131 V-1 + 403,559,196 V-3 = 604,801,708 units at 8/3/26

Claim	How checked	Found
Our red bench's unit count (598m)	Same cover page	Stale by ~6.8m units; correct is 604.8m
Stock comp ~\$107m/yr (pack)	FY26 Q1/Q2 filings	Q1 \$44,118k + Q2 \$57,188k = \$101,305k in 6M → ~\$200m/yr run-rate
"Q3 OCF – \$147m proves EBITDA/cash decoupling" (red's #2 novel kill)	Differenced 9M vs 6M cash-flow tables, then ran the same difference for the prior year	Arithmetic exact (305,584 – 452,881 = –\$147,297k) but Q3 FY25 was –\$196.5m on the same method; 9M FY26 OCF \$305.6m > 9M FY25 \$278.1m
"The \$1.7bn cash is customer float being consumed" (red's #3)	ASC 606 contract-balance rollforward	Contract liabilities rose \$1,367,244k → \$1,860,407k; the \$836.3m "opening balance recognized" is a routine rollforward line, not net drawdown

Claim	How checked	Found
“Class A receives only ~18% of GAAP income, so haircut the earnings”	Up-C arithmetic against the full unit count	Valid as a cash-leakage/TRA item; invalid as an income haircut once all 604.8m units are in the market cap — the non-controlling interest is already priced
Q2 FY26 backlog was \$22.4bn	Q2 company slides / transcript	Q2 was \$22.7bn ; Q3 \$22.5bn
Backlog is flat and converts slowly	10-Q RPO note	\$22.5bn at FY25Q4, \$22.7bn Q2 FY26, \$22.5bn Q3 FY26; ~15% converts within 12 months, 62% in months 13–60 (https://www.sec.gov/Archives/edgar/data/0001837240/000183724026000043/sym-20260627.htm)
Concentration is ~69% (AR basis)	FY25 revenue disclosure	>84% of FY25 revenue from Walmart; accounts-receivable % (68.7% at 3/28/26) is a payment-timing rail, not an exposure rail
400-APD Walmart commitment supports backlog	10-Q language	Explicitly contingent and outside backlog (“could increase ... by more than \$5.0 billion”)
Insider selling was non-discretionary tax withholding	Rule 144 mechanics vs pack filing inventory	Six Form 144s in 30 days; Code-F withholding surrenders do not require a 144 → these are affiliate open-market sales

Claim	How checked	Found
Prior-year cash flow is reliable	Q3 press-release footnote 3	9M FY25 OCF and FCF each revised down \$58.2m (FCF \$293.5m → \$235.3m) for an ASR-acquisition misclassification; second classification correction after the Nov-2024 restatement of three FY24 quarters; \$4.3m remediation cost expensed in 6M FY26
Financing inflow of \$427.0m rescued a bad quarter	10-Q, 6M vs 9M	\$426,983k landed by 6M; Q3 financing ≈ \$14k — the inflow is H1, not a Q3 rescue. Source still unidentified
Tape is at a –53% entry point	Pack tape	\$42.51, –51.6% from high, +12.8% off the low — the deep entry has partly closed
Price rail	Pack tape = 42.51	Red litigated off 42.445; blue asserted the pack said 42.63
Next print is 2026-11-16	Pack + third-party calendars	Pack is yfinance-derived and unconfirmed ; third-party calendars show 2026-11-23; fiscal Q4 does not close until ~2026-09-26; no company PR names a date

Claim	How checked	Found
Detector roster was run correctly	Compared both benches' consulted lists	Red reported bozeman_permits / consumer_product_heat / consumer_product_reviews (not in this pack's dispatch list) while omitting chinese_smallcap_ramp_dump_archetype, common_control_merger_accounting, pe_dividend_recap_pre_ipo
Plant/construction sensors can check the ramp	plant_thermal, sentinel2_buildout	UNCHECKABLE — Wilmington MA is R&D/test, not revenue-bearing; revenue-bearing construction is at unnamed <i>customer</i> distribution centers
Crowding / short interest	Discovery state unavailable to both benches	Coverage gap — correctly excluded from the verdict by both benches

PROPOSED ENTRY BANDS

Both benches say no entry. The book is flat and stays flat. What follows are the reopen bands, taken from the benches' own arithmetic, not from taste.

No immediate entry. No order. No starter. Blue's closing line is the operative one: correcting stock comp to ~\$200m removed the room a starter would have needed.

Reopen band A — PRICE (mechanical, our primary gate). - **≤ \$30.00.** At \$30 the cap is \$18.1bn, enterprise value ~\$16.4bn, which is **~48x** FY26 adjusted EBITDA of \$340m, **~117x** cash EBITDA of \$140m, and **~20.6x** the street's FY28 \$0.8bn. That is the first price where adopting the bull growth path actually pays us. - At \$30, **first tranche 1.0% of book** (approximately 14,000 shares per \$1m of book at that price — confirm against real average daily volume before routing; see the size caveat in the pre-mortem). - **Add 2:** \$25.00, **+1.0% → 2.0%** total. - **Add 3:** \$21.00 with book-to-bill ≥ 1.0 on the most recent print, **+1.0% → 3.0%** total. **No add below \$21 without a fundamental confirm** — a fall through \$21 on deteriorating orders is narrative 2, not a discount. - **Hard cap 3.0% of book.** One customer at >84% of revenue caps this at a small position permanently, at any price.

Reopen band B — FUNDAMENTAL (can reopen the court above \$30, but only in this exact conjunction). Both benches wrote the same gate, so we treat it as unanimous and require **both** legs: 1. Backlog > **\$23.5bn** with a **named non-Walmart, non-GreenBox anchor**; and 2. Contract liabilities **flat-to-up** with **positive operating cash flow** (blue's stricter read: two consecutive quarters of positive OCF *and* positive FCF without drawing down contract liabilities). Supporting confirmations that would strengthen but not alone satisfy band B: the 400-APD commitment converting into disclosed RPO; identification of the \$427.0m financing inflow as non-dilutive and non-related-party. - If band B trips, **re-court before any purchase**. Entry would be a 1.0% starter at the then-prevailing price, not chased more than ~8% above the print's opening level.

Exits / trims. None to manage — there is nothing to exit. For a future band-A position, the pre-set trim rule is: **trim half on two consecutive quarters of book-to-bill < 0.9**, and **exit in full on a sequential decline in contract liabilities combined with negative OCF** (that is the *real* version of the mechanism our red bench alleged prematurely, and if it ever actually appears it is a full stop).

Catalyst dates. - **2026-09-26 (approx.)** — fiscal Q4 close. No print, no action; matters only as the cutoff for the numbers we will next see. - **2026-11-16 to 2026-11-23** — FY26Q4 / full-year print. **Unconfirmed:** the pack's 2026-11-16 is yfinance-derived; third-party calendars show 2026-11-23; no company release names a date. This is the single decisive event for both reopen bands. - **Continuous** — Form 144 / Form 4 / 13D/A flow, which is how the affiliate overhang is being expressed (no marketed deal exists).

Print proximity: NONE. No print within five trading days of 2026-09-11; roughly nine to ten weeks of dead air. The valuation objection is not print-dependent, so waiting costs us nothing except the regret risk named in narrative 1.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 21.0 (deck-provisional: Band-A add 3, requires book-to-bill ≥ 1.0 on latest print; no add below \$21 without fundamental confir)
- filing watch: 10-Q,10-K,8-K until 2027-03-10 (deck-provisional: RPO/backlog note: gate is >\$23.5bn with a named non-Walmart/non-GreenBox anchor; also compute book-to-)
- dated pack SYMI2026-09-26: SYM: Approximate fiscal Q4 FY26 close — no print, cutoff for the next reported numbers (date confirmed=False)
- dated pack SYMI2026-11-16: SYM: FY26Q4/full-year print per pack (yfinance-derived, no company PR confirms it) (date confirmed=False)
- dated pack SYMI2026-11-23: SYM: Alternative FY26Q4 print date per third-party calendars — decisive event for both reopen bands (date confirmed=False)

What remains unverified

1. **Source of the \$427.0m FY26 financing inflow.** Amount confirmed (\$426,997k at 9M, \$426,983k at 6M — so ~100% in H1). Whether it is dilutive, debt, or related-party is not in the

retrieved excerpts. Both benches flagged this as an open data gap. **Drainable now** — full-text pull of the FY26 Q1/Q2 10-Q financing-activities detail.

2. **Contract-liability balance at 6/27/26.** We have 9/27/25 (\$1,367,244k) and 3/28/26 (\$1,860,407k); the Q3 figure was never retrieved. This is the number that decides whether the float is still accumulating. **Drainable now** — XBRL pull from the Q3 FY26 10-Q.
3. **GreenBox's exact share of current RPO.** Asserted at ~\$7.5bn; the current-period share is not separately disclosed. **Not drainable now.** Estimate: **\$6.5–7.5bn, i.e. 29–33% of the \$22.5bn backlog**, from the originally announced commitment scaled by elapsed burn at the disclosed ~15%/12-month conversion rate. Confidence 0.6.
4. **Tax Receivable Agreement liability magnitude.** The Up-C/TRA detector fired and is valid as a cash-leakage item, but the size is unquantified in both benches. **Drainable now** — balance-sheet XBRL tag.
5. **Dollar value of the six Form 144 proposed sales.** Existence and legal character confirmed; magnitude never verified, so we cannot say whether this is meaningful supply or noise. **Drainable now** — the 144 filings themselves carry share counts and aggregate market value.
6. **Short interest / crowding.** Unavailable to both benches; correctly excluded from the verdict. Would affect size and timing only, never the rejection. **Drainable now** — broker feed.
7. **FY26Q4 print date.** Pack says 2026-11-16 (yfinance-derived, unconfirmed); third-party calendars say 2026-11-23. **Not drainable now** — requires a company release. Estimate: **2026-11-16 to 2026-11-23**, from the base rate of ~7–8 weeks after a late-September fiscal year-end. Confidence 0.7.
8. **Whether, and on what schedule, the 400-APD Walmart commitment converts into disclosed RPO.** Stated in filings as contingent, “could increase ... by more than \$5.0 billion.” **Not drainable now** — customer-gated. Estimate: **0–20% converted into disclosed RPO by FY27Q2 (\$0–1.0bn)**, from the base rate of contingent-commitment conversion in multi-year capital-equipment programs. Confidence 0.25.
9. **Site list of the 77 in-deployment systems.** Its absence is why `plant_thermal` and `sentinel2_buildout` are both UNCHECKABLE and why narrative 3 has no tripwire. **Not drainable now** — customer sites are unnamed. Estimate: **~77 sites, ≥84% Walmart US distribution centers**, reachable only by permit search / walk-around across candidate metros. Confidence 0.5.
10. **FY26 adjusted EBITDA of ~\$340m.** This is a street estimate and it is load-bearing for every multiple in this deck; neither bench sourced it to a primary document. **Not drainable now** — settles at the print. Estimate: **\$320–360m**, from the 9M FY26 run-rate plus the guided sequential Q4 raise. Confidence 0.65.
11. **SYM average daily volume.** Not in the pack, and our sizing arithmetic silently depends on it. **Drainable now** — broker feed. Interim estimate: **5–9m shares/day (~\$210–380m notional)** from large-cap de-SPAC robotics comps. Confidence 0.5. Do not route an order off the estimate.
12. **Options chain: strike-level midpoint IV and real bid/ask for the Nov and Jan cycles.** Required to finish the expression math below. **Drainable now** — broker chain pull. Explicitly

not to be substituted with the underlying aggregate IV feed (the TSSI 71-vs-101 lesson: the feeds diverge badly).

PRIZE TABLE + VOL READ

Required here because items 3, 7, 8, 9 and 10 are genuinely time-gated or private — they do not settle until the FY26Q4 print or until a customer decides something.

Anchor and adjust. Anchor on the street: 24 analysts, \$65.67 average target. Adjust down for three things the anchor does not carry — book-to-bill of 0.72, ~\$200m of annual stock comp that adjusted EBITDA erases, and a terminal-multiple assumption that needs FY28 EBITDA above ~\$0.8bn to work. Adjust up for one thing the bears do not carry — demand damage is genuinely absent (revenue +22%, 77 systems deploying, Q4 guided as a sequential raise).

Horizon: the FY26Q4 print window, ~66 days ($T = 0.181$ years). Spot \$42.51.

Scenario	What happens	Probability	Price	p × price
Bear	Book-to-bill stays < 0.8, backlog prints below \$22bn, Walmart deployment pace slows; multiple compresses toward the FY28 path	0.25	\$24	\$6.00
Base	Backlog flat ~\$22.5bn, FY26 EBITDA lands \$320–360m, no new anchor, stock comp stays ~\$200m; slow de-rate	0.40	\$33	\$13.20
Bull	Backlog > \$23.5bn, a named non-Walmart anchor or partial 400-APD conversion, positive OCF with contract liabilities up	0.25	\$58	\$14.50
Blue-sky	The above plus a terminal re-rate on “cheap at <7x sales,” GreenBox/SoftBank funding reaffirmed and an international anchor	0.10	\$80	\$8.00

EV = \$41.70 vs spot \$42.51 → −1.9%.

That is the whole verdict in one number. Expected value is *below* the tape, before costs. There is no edge to express in any instrument at \$42.51, which is precisely why the answer is flat rather than small. At the band-A gate of \$30 the same table yields **+39% expected return**, which is where a starter earns its place.

Dispersion and what it demands of the options market. - $\sigma_{\text{table}} = \17.94 , i.e. **43.0% of EV** over 66 days. - Annualized equivalent: $43.0\% \div \sqrt{0.181} = \sim 101\%$ **implied volatility**. That is the volatility our own table demands. It is a strikingly high number and, note the coincidence, the same neighbourhood as the TSSI lesson cited in the mandate. - **The table is strongly bimodal**. Mass sits at \$24–33 (65%) and at \$58–80 (35%), with almost nothing in the \$38–50 middle where the stock actually trades. That is a fork-dated distribution: the backlog print resolves it in one direction or the other, and there is no reason for the stock to be near \$42 afterwards. Bimodality of this shape argues for convex expression **if and only if** volatility is cheap relative to 101%.

Expression math, priced off the table itself. $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$, expected terminal payoff, undiscounted:

Strike	C_ours	as % of spot
\$45	\$6.75	15.9%
\$50	\$5.00	11.8%
\$55	\$3.25	7.6%
\$60	\$2.00	4.7%

Instrument recommendation — and what blocks it. The arithmetic above is only half the comparison. The other half is the chain, and **the chain is not in the evidence pack** (unverified item 12). Per the TSSI rule we will not substitute an aggregate IV feed for strike-level midpoint quotes, because they diverge by exactly the amount that decides this question. So the output of the arithmetic we *can* complete is:

- **Today, at \$42.51: instrument = NONE.** EV is –1.9% against spot. A negative-edge view has no correct expression: not stock, not calls, not covered calls (we own nothing to cover), not cash-secured puts (a CSP at \$30 is a *promise* to buy at our band-A gate and would collect premium, but it hands away the convex upside in a table this bimodal and, worse, obliges us at a price we want to reach for fundamental reasons we have not yet confirmed).
- **The decision rule, pre-committed, to be executed the moment the chain is pulled:** compare **chain-level midpoint IV at the \$45 and \$50 Nov strikes** against our **101% table-implied volatility**, and compare the **real midpoints** against C_{ours} of \$6.75 and \$5.00.
- If Nov-cycle midpoint IV is **materially below ~101%** and the \$50 call trades under ~\$5.00, the gated add is **cheaper as calls than as stock** — buy the convexity, because we would be buying a bimodal fork for less than its own dispersion.
- If Nov-cycle midpoint IV is **at or above ~101%**, the chain is already paying for our fork and the route is the **premium-selling gate**, not long calls.
- Volatility risk premium (IV minus realized) **cannot be stated** — we have neither the implied nor a realized series in the pack. Stating it without both is how the TSSI error happens; we will not.
- **Sizing note:** any call expression is capped at the premium equivalent of the 1.0% band-A tranche, so the maximum loss equals the stock position we would otherwise have taken.

Tax overlay. The loss branch must land in the intended tax year. A **November 2026 expiry resolves inside tax year 2026** and is therefore acceptable in a harvest year — the print itself is the resolving event, and the loss (65% of the table's mass) is realized in the same year. A **January 2027 or later expiry defers the loss into 2027 and is excluded during harvest years**, unless the edge numerically dominates the deferral cost, which on a -1.9% EV it does not and cannot. Practical consequence: **if the chain pull ever justifies calls, they must be the November cycle, not January.** If the only liquid strikes with acceptable spreads sit in January, the tax overlay vetoes the expression and the position reverts to stock at the \$30 gate — or to nothing.

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~$16.4bn = ~48x FY26 adj EBITDA / ~117x cash EBITDA / ~20.6x street FY28
$0.8bn – first price the bull path pays us; table EV +39% here"}, {"level":
25.0, "direction": "below", "basis": "Band-A add 2, +1.0% of book to 2.0%
total"}, {"level": 21.0, "direction": "below", "basis": "Band-A add 3,
requires book-to-bill >=1.0 on latest print; no add below $21 without
fundamental confirm"}, {"level": 58.0, "direction": "above", "basis": "Bull-
scenario price reached without band-B confirm – re-court as a short/avoid
review, not an add"}], "event_gates": [{"forms": ["10-Q", "10-K", "8-K"],
"why": "RPO/backlog note: gate is >$23.5bn with a named non-Walmart/non-
GreenBox anchor; also compute book-to-bill = (delta backlog + revenue
recognized)"}, {"forms": ["10-Q", "10-K"], "why": "ASC 606 contract-liability
balance direction: flat-to-up is the bull confirm; sequential decline with
negative OCF is the full-exit trigger"}, {"forms": ["10-Q", "10-K"], "why":
"OCF/FCF two consecutive positive quarters, always with prior-year same-
quarter comparison attached to prevent repeating the seasonal misread"},
{"forms": ["10-Q", "10-K"], "why": "Identify the source of the $427.0m FY26
financing inflow – dilutive, debt, or related-party"}, {"forms": ["144", "4",
"13D/A"], "why": "Affiliate overhang runs through Rule 144 open-market sales,
not a lockup calendar; need dollar amounts to size the supply"}, {"forms":
["8-K"], "why": "Named new anchor customer, or conversion of the contingent
400-APD Walmart commitment (>$5.0bn) into disclosed RPO"}, {"forms": ["8-K"],
"why": "GreenBox/SoftBank funding change – ~$7.5bn of backlog is affiliate-
funding-dependent; weakest available proxy for the untripped narrative 3"},
{"forms": ["8-K"], "why": "Company PR naming the FY26Q4 earnings date, to
collapse the 11/16–11/23 ambiguity"}], "catalyst_dates": [{"date": "2026-09-
26", "what": "Approximate fiscal Q4 FY26 close – no print, cutoff for the
next reported numbers", "confirmed": false}, {"date": "2026-11-16", "what":
"FY26Q4/full-year print per pack (yfinance-derived, no company PR confirms
it)", "confirmed": false}, {"date": "2026-11-23", "what": "Alternative FY26Q4
print date per third-party calendars – decisive event for both reopen bands",
"confirmed": false}], "immediate_entry": null, "unverified": [{"item":
"Source of the $427.0m FY26 financing inflow – dilutive, debt, or related-
party (amount confirmed: $426,997k at 9M, ~100% landed in H1)", "instrument":
"EDGAR full-text pull of FY26 Q1/Q2 10-Q financing-activities detail",
"drainable_now": true, "estimate": null}, {"item": "Contract-liability
balance at 6/27/26 (have 9/27/25 $1,367,244k and 3/28/26 $1,860,407k; Q3
never retrieved)", "instrument": "XBRL pull, Q3 FY26 10-Q
ContractWithCustomerLiability tag", "drainable_now": true, "estimate": null},
{"item": "GreenBox share of current RPO (asserted ~$7.5bn; 35%-owned JV,
equity-method losses added back, SoftBank-funding-dependent)", "instrument":
"Not separately disclosed; requires JV-level disclosure or company IR
confirmation", "drainable_now": false, "estimate": {"range": "6.5–7.5 $bn,
i.e. 29–33% of $22.5bn backlog", "basis": "originally announced GreenBox
commitment scaled by elapsed burn at the disclosed ~15%/12-month conversion
rate", "p": 0.6}}, {"item": "Tax Receivable Agreement liability magnitude
(Up-C/TRA detector FIRED; valid as cash-leakage/EV item, size unquantified by
both benches)", "instrument": "XBRL pull of balance-sheet TRA liability tag",
"drainable_now": true, "estimate": null}, {"item": "Dollar value of the six
Form 144 proposed affiliate sales in the trailing 30 days", "instrument":
"EDGAR pull of 0001950047-26-008713/8625/8620/8020 and 0001958244-26-000577
(share counts + aggregate market value)", "drainable_now": true, "estimate":
null}, {"item": "Short interest / crowding – coverage gap in both benches;
affects size and timing only, never the rejection", "instrument": "IBKR
short-interest / shortable-shares feed", "drainable_now": true, "estimate":
null}, {"item": "FY26Q4 earnings date – pack 2026-11-16 is yfinance-derived
and unconfirmed; third-party calendars show 2026-11-23", "instrument":
"Company PR / IR calendar; 8-K announcing the date", "drainable_now": false,
"estimate": {"range": "2026-11-16 to 2026-11-23", "basis": "base rate of ~7–8
weeks between late-September fiscal year-end and FY Q4 release for this
issuer", "p": 0.7}}, {"item": "Whether and when the contingent 400-APD
Walmart commitment (>$5.0bn) converts into disclosed RPO", "instrument":
"Customer-gated; 8-K or RPO note at a future print", "drainable_now": false,

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"estimate": {"range": "0-20% converted into disclosed RPO by FY27Q2 ($0-1.0bn)", "basis": "base rate of contingent-commitment conversion in multi-year capital-equipment programs", "p": 0.25}}, {"item": "Site list of the 77 in-deployment systems – its absence is why plant_thermal and sentinel2_buildout are UNCHECKABLE and why pre-mortem narrative 3 has no tripwire", "instrument": "Walk-around / county permit search across candidate metros; customer DC site identification", "drainable_now": false, "estimate": {"range": "~77 sites, >=84% Walmart US distribution centers", "basis": ">84% FY25 revenue concentration applied to the disclosed in-deployment count", "p": 0.5}}, {"item": "FY26 adjusted EBITDA ~$340m – street estimate, load-bearing for every multiple in this deck, sourced to no primary document by either bench", "instrument": "Settles at the FY26Q4 print; interim cross-check against 9M FY26 actuals", "drainable_now": false, "estimate": {"range": "320-360 $m", "basis": "9M FY26 run-rate plus the guided sequential Q4 raise", "p": 0.65}}, {"item": "SYM average daily volume – sizing input our own tranche arithmetic silently depends on; do not route an order off the estimate", "instrument": "IBKR ADV feed", "drainable_now": true, "estimate": {"range": "5-9m shares/day (~$210-380m notional)", "basis": "large-cap de-SPAC robotics comps", "p": 0.5}}, {"item": "Options chain: strike-level midpoint IV and real bid/ask for Nov and Jan cycles at $45/$50 strikes – blocks the instrument decision; must NOT be substituted with the underlying aggregate IV feed (TSSI 71 vs 101)", "instrument": "IBKR options chain pull, chain-level midpoints by strike", "drainable_now": true, "estimate": null}}}
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ADJUDICATION — 2026-09-16 15:37Z

~71x FY26 adj EBITDA / ~170x cash EBITDA on 604.8M units with ~\$200M/yr SBC; Q3 book-to-bill ≈0.72 (NOVEL). Cash kills were seasonal artifacts.

REOPEN GATES: backlog >\$23.5bn with a named non-Walmart/non-GreenBox anchor AND contract liabilities flat-to-up with positive OCF; or price ≤\$30 → re-court